



BKM INDUSTRIES LIMITED

Risk Management Policy

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Approving authority	Board of Directors
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Applicable legal and regulatory framework

This Policy shall be read with the following principal requirements, each as amended, replaced, saved or brought into force from time to time:

- Companies Act, 2013, sections 134(3)(n) and 177(4)(vii)
- SEBI Listing Regulations, regulations 17(9) and 21, to the extent applicable
- SEBI continuous-disclosure and insider-trading requirements
- Applicable financial, operational, cyber, environmental, labour and business-continuity requirements

STATUTORY OVERRIDE

If this Policy is inconsistent with a mandatory law, regulation, rule, circular, stock-exchange direction or judicial order, the mandatory requirement prevails. A more beneficial statutory employment benefit also prevails.

Applicability of the Risk Management Committee

The Board retains responsibility for risk systems under section 134 of the Companies Act and regulation 17(9) of the Listing Regulations. A Risk Management Committee shall be constituted and operated in the form required by regulation 21 when the Company falls within its applicability threshold; the Board may maintain such a committee voluntarily at any other time.

Policy provisions

Preamble

BKM Industries Limited ("Company") recognizes that effective risk management is fundamental to achieving its strategic objectives, safeguarding stakeholder interests, ensuring regulatory compliance, protecting its assets and reputation, and creating sustainable long-term value.

The Company operates in a dynamic business environment that is exposed to a variety of internal and external risks arising from economic conditions, market developments, technological advancements, environmental and social factors, regulatory changes, operational challenges and evolving stakeholder expectations.

This Risk Management Policy ("Policy") establishes a structured and enterprise-wide framework for identifying, assessing, managing, monitoring and reporting risks across the organization. The Policy seeks to foster a culture of informed decision-making, accountability, resilience and continuous improvement.

The Company is committed to managing risks proactively while enabling responsible growth, innovation and sustainable business performance.

Legal And Regulatory Framework

This Policy is formulated in accordance with the applicable provisions of:

- The Companies Act, 2013 and the Rules made thereunder;
- The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time;
- Applicable Secretarial Standards issued by the Institute of Company Secretaries of India;
- Other applicable laws, regulations and governance requirements.

Pursuant to Section 134(3)(n) of the Companies Act, 2013, the Board of Directors is required to include in its Report a statement indicating the development and implementation of a risk management policy for the Company, including identification of elements of risk, if any, which may threaten the existence of the Company.

Further, Section 177 of the Companies Act, 2013 requires the Audit Committee to evaluate internal financial controls and risk management systems, while Schedule IV of the Companies Act, 2013 requires Independent Directors to satisfy themselves that financial controls and systems of risk management are robust and effective.

The Board shall ensure that appropriate systems are established for identifying, evaluating and managing risks that may affect the Company's business, operations, assets, employees, stakeholders, reputation or long-term sustainability.

Objectives Of The Policy

The objectives of this Policy are to:

- Establish a consistent and enterprise-wide approach to risk management;
- Identify, assess and manage risks that may affect the achievement of strategic, operational, financial and compliance objectives;
- Strengthen governance and internal control mechanisms;
- Facilitate informed and risk-aware decision-making;
- Promote business resilience and continuity;
- Protect the interests of shareholders, employees, customers, suppliers, regulators and other stakeholders;
- Support sustainable growth and value creation;
- Enhance the Company's ability to respond effectively to changing business and regulatory environments.

Applicability

This Policy shall apply to:

- The Board of Directors;
- Committees of the Board;
- Independent Directors;
- Senior Management Personnel;

- Functional and Departmental Heads;

Employees involved in risk identification, assessment, monitoring and mitigation activities.

Every employee shall support the Company's risk management efforts within the scope of their responsibilities.

Definitions

5.1. Risk

Risk refers to the possibility that an event, action or circumstance may adversely affect the Company's ability to achieve its objectives, execute its strategy, protect its assets, comply with legal obligations or create value for stakeholders.

Risks may arise from internal or external factors and may result in financial loss, operational disruption, regulatory action, reputational damage, environmental impact, cybersecurity incidents, safety concerns or strategic setbacks.

Risk Appetite

Risk Appetite refers to the amount and type of risk the Company is willing to accept in pursuit of its strategic and business objectives.

Inherent Risk

The level of risk that exists before the implementation of any controls or mitigation measures.

Residual Risk

The level of risk that remains after controls and mitigation measures have been implemented.

Risk Owner

A Risk Owner is the individual, function or department responsible for identifying, assessing, monitoring and managing a particular risk and implementing appropriate mitigation measures.

Risk Register

A documented repository of identified risks, risk assessments, controls, mitigation plans, responsible persons and review status.

Risk Management Principles

The Company's risk management framework shall be guided by the following principles:

- Integration with business strategy and operational decision-making;
- Accountability and ownership of risks at all levels;
- Timely identification and escalation of significant risks;
- Compliance with applicable laws, regulations and internal policies;
- Protection of people, assets, information and reputation;
- Continuous monitoring and improvement;
- Transparency in reporting and communication;
- Promotion of a strong risk-aware culture across the organization.

Risk Culture

The Company encourages a risk-aware culture in which employees at all levels are expected to identify, assess and promptly report risks within their areas of responsibility.

Risk management shall be considered an integral component of business planning, operational activities, investment decisions, project management and corporate governance.

Management shall promote awareness, accountability and ethical conduct to support effective risk management throughout the organization.

Risk Governance Structure

Board of Directors

The Board shall have overall responsibility for overseeing the Company's risk management framework and shall:

- Approve and periodically review this Policy;
- Periodically review key strategic, operational, financial, compliance and emerging risks;
- Determine the Company's overall approach to risk oversight;
- Review and, where considered appropriate, establish the Company's risk appetite and risk tolerance levels;
- Ensure the adequacy and effectiveness of risk management and internal control systems;
- Monitor significant risk exposures and mitigation measures;
- Review management's actions in addressing material risks.

Audit Committee

The Audit Committee shall assist the Board by:

- Evaluating the effectiveness of risk management systems;
- Reviewing internal financial controls and risk mitigation mechanisms;
- Monitoring significant risk exposures and management responses;
- Reviewing findings arising from internal audits and corrective actions;
- Reporting significant observations and recommendations to the Board.

Independent Directors

Independent Directors shall satisfy themselves that the systems of risk management and internal financial controls are robust, effective and capable of safeguarding the interests of the Company and its stakeholders.

Managing Director and Senior Management

Senior Management shall:

- Implement the risk management framework approved by the Board;
- Integrate risk considerations into strategic and operational decisions;
- Ensure adequate resources are available for risk mitigation;
- Monitor emerging risks and changing risk exposures;
- Escalate material risks to the Audit Committee and Board.

Functional Heads and Risk Owners

Functional Heads shall:

- Identify risks within their respective functions;
- Assess the likelihood and impact of identified risks;
- Develop and implement mitigation plans;
- Monitor the effectiveness of controls;
- Report significant risks and emerging concerns to Senior Management.

Risk Management Committee

Where required under applicable law or considered appropriate by the Board, the Company may constitute a Risk Management Committee and prescribe its composition, roles and responsibilities in accordance with applicable regulatory requirements.

Risk Categories

The Company may be exposed to risks including, but not limited to, the following:

Strategic Risks

Risks affecting business strategy, long-term objectives, investments, market position, competition and growth opportunities.

Operational Risks

Risks arising from manufacturing activities, process failures, supply chain disruptions, equipment breakdowns, quality issues and business interruptions.

Financial Risks

Risks related to liquidity, credit, interest rates, foreign exchange exposure, capital structure, financial reporting and cash flow management.

Regulatory and Compliance Risks

Risks arising from non-compliance with laws, regulations, licenses, contractual obligations and governance requirements.

Information Technology and Cybersecurity Risks

Risks relating to cyber threats, data breaches, system failures, technology disruptions and unauthorized access to information.

Human Capital Risks

Risks associated with workforce availability, succession planning, employee engagement, talent retention, workplace safety and labour relations.

Environmental, Social and Governance (ESG) Risks

Risks arising from environmental impacts, climate change, sustainability obligations, social responsibilities and governance practices.

Fraud and Ethical Risks

Risks involving fraud, corruption, bribery, misconduct, conflicts of interest and unethical business practices.

Reputational Risks

Risks that may adversely affect stakeholder confidence, corporate image and market reputation.

Emerging Risks

Risks arising from evolving business, economic, geopolitical, technological, environmental, social or regulatory developments that may significantly impact the Company's future operations, strategy or sustainability.

Risk Management Process

Risk Identification

Risk identification shall be an ongoing process integrated into business planning, operational reviews and decision-making activities.

Risks may be identified through:

- Strategic planning exercises;
- Business and operational reviews;
- Internal and external audits;
- Regulatory developments;
- Incident reporting;
- Management discussions;
- Stakeholder feedback;
- Industry and market assessments;
- ESG and sustainability reviews.

Risk Assessment

Identified risks shall be evaluated considering:

- Likelihood of occurrence;
- Potential financial and non-financial impact;
- Velocity and duration of impact;
- Existing controls;
- Regulatory implications;
- Reputational consequences.

Risk Evaluation and Prioritization

Risks shall be prioritized using a structured assessment of likelihood and impact to facilitate appropriate management attention, mitigation planning and allocation of resources.

Risk Mitigation

Appropriate responses may include:

- Risk avoidance;

- Risk reduction;
- Risk sharing or transfer, including insurance;
- Risk acceptance within approved limits.

Mitigation plans shall include clear ownership, timelines and monitoring mechanisms.

Monitoring and Reporting

Risks shall be monitored on an ongoing basis to assess:

- Effectiveness of mitigation measures;
- Changes in risk profile;
- Emerging risks;
- Control deficiencies;
- Compliance with risk management requirements.

Material risks shall be escalated to Senior Management, the Audit Committee and the Board, as appropriate.

Internal Controls

The Company shall maintain an adequate system of internal controls designed to manage identified risks, safeguard assets, ensure the reliability of financial and operational information, and support compliance with applicable laws, regulations and internal policies.

Risk Register

The Company shall maintain and periodically update a Risk Register to document:

- Identified risks;
- Risk owners;
- Risk assessments;
- Existing controls;
- Mitigation actions;
- Review timelines;
- Residual risk exposure and status.

The Risk Register shall be reviewed periodically and updated whenever significant changes occur in the Company's risk profile.

Business Continuity And Crisis Management

The Company is committed to maintaining business continuity and operational resilience by developing and periodically reviewing contingency, recovery and crisis response measures for significant disruptions.

Such disruptions may include:

- Natural disasters;
- Industrial accidents;
- Cybersecurity incidents;
- Supply chain interruptions;
- Public health emergencies;
- Regulatory or geopolitical events;
- Other unforeseen circumstances.

Management shall periodically evaluate preparedness measures and implement improvements wherever necessary.

Reporting And Disclosures

The Company shall make such disclosures relating to risk management as may be required under applicable laws, SEBI regulations, corporate governance requirements and other statutory obligations.

Risk-related information reported to the Board and Committees shall be accurate, timely and sufficient to facilitate informed decision-making.

Review Of The Policy

This Policy shall be reviewed periodically by the Audit Committee and recommended to the Board for approval.

The Board may amend, modify or replace this Policy at any time to ensure continued alignment with applicable laws, regulatory requirements, industry practices, business needs and emerging risk considerations.

Effective Date

This Policy shall become effective from the date of its approval by the Board of Directors of BKM Industries Limited and shall remain in force until amended, modified or replaced.

Governance, monitoring and records

- Policy owner: Chief Financial Officer / Risk Coordinator. The owner shall maintain procedures, registers, evidence and training appropriate to the control risks.
- Functional heads must escalate suspected breaches promptly and cooperate with reviews or investigations.
- Records must be accurate, access-controlled and retained for the longer of the statutory period, an applicable legal hold and the Company's Preservation Policy.
- A person who raises a concern in good faith is protected from retaliation, subject to the Company's whistleblower framework.

Review, approval and controlled disclosure

This Policy shall be reviewed annually and earlier on a material legal, regulatory, operational or organisational change. Amendments require approval by the Board of Directors unless a law permits a delegated, non-substantive update.

This is an internal controlled document. External disclosure is permitted only where required by law or specifically authorised through the Company's disclosure controls.